answers, Icahn concluded Genzyme stock price was down "for the wrong reasons."[27] The manufacturing issues had scared investors for the near term, he said, "But for the long term I believed there was little problem. Additionally, Genzyme had a great pipeline no one was giving value to."[28] Icahn decided to take a position, "I said to Alex, 'This is a great one, this is a great opportunity for us. Just buy all we can buy.'"[29] By the end of the September 2009 quarter, he had spent $73 million to pick up 1.5 million Genzyme shares at an average price of $50.47. The stake amounted to just 0.5 percent of the company. Icahn kept buying. By the end of 2009 he had pushed his ownership stake to 4.8 million shares, or 2 percent, still too small to require the filing of a schedule 13D notice, but a toe hold.

AN IDEAL INDUSTRY

Icahn knew the biotechnology industry well before he and Denner went after Genzyme. He had found it a happy hunting ground since his first campaign begun in 2002 when he had targeted ImClone Systems. ImClone's stock had crashed from $74 per share to $15 when the FDA rejected its drug *Erbitux*, used in the treatment of colorectal cancer. Icahn had held a passive 5.1 percent stake in the company since 1995 due to his friendship with its founder and chief executive, Samuel D. Waksal.[30] Following the FDA's rejection of *Erbitux* and with the stock trading around $18, Icahn applied for, and received, approval from the Federal Trade Commission and the Justice Department to increase his stake to as much as 40 percent.[31] ImClone interpreted it as a vote of support in *Erbitux*.

When it later emerged that several ImClone executives, including Waksal, had sold stock prior to the announcement ImClone was hit by class action lawsuits and became the subject of informal investigations by a slew of Federal government agencies.[32] Waksal and the other executives were eventually convicted of insider trading, as was high-profile television personality Martha Stewart. The company announced an interim chief executive who Icahn opposed, and sought to merge with another company against Icahn's wishes. Shortly after the interim chief executive was installed, Icahn initiated an activist campaign with the filing of a 13D notice disclosing a $390.5 million position, representing 13.8 percent of ImClone. During the proxy fight, ImClone complained that Icahn had blocked a $36-per-share offer for the company that turned on Icahn's acceptance. Icahn had refused to agree, arguing that the "non-bid," as he described it, was too low, and made in "overpriced" bidder's stock. He kept up the pressure, and by October 2006, had been named chairman of ImClone's board. Four other Icahn nominees, including Denner, were named directors.